APEX TERMINAL | EQUITY RESEARCH

RELIANCE.NS | BUY | 12M outlook

RELIANCE.NS | Reliance Industries Limited | Energy | Diversified Oil Gas & Chemicals

NSE (India) | INR | 12M outlook | report date 2026-10-26

Generated 26 Oct 2026, 11:28 pm - deterministic client engine

DEMO - SYNTHETIC DATA - NOT FOR INVESTMENT USE

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Investment Summary

RATING	TARGET (12M)	IMPLIED UPSIDE	LAST PRICE
BUY	17,437.17 INR	+117.1%	8,032.50 INR

BUY | 12M | target 17,437.17 INR vs last close 8,032.50 INR (117.1% upside)

Reliance Industries Limited (RELIANCE.NS, NSE) last closed at 8,032.50 INR, inside a 52-week range of 5,525.00-8,925.00. Our 12M view is BUY with a target of 17,437.17 INR, which screens materially undemanding on our base case. The base case compounds revenue from 510.00B INR (last reported) to 821.36B INR over 5 forecast years - a 10.0% CAGR - with the EBITDA margin moving from 36.7% in the first forecast year to 36.7% in the final year. Final-year free cash flow of 177.60B INR equals 59.0% of EBITDA and a 21.6% free-cash-flow margin. Discounting the forecast free cash flow at a 8.50% WACC with 2.5% terminal growth produces an enterprise value of 2.59T INR and equity value of 2.62T INR. The terminal value contributes 77.9% of enterprise value, so long-run assumptions dominate the estimate. At the current market price the implied WACC is 15.26%, i.e. the market discounts our cash flows more steeply than our stated cost of capital.

Company & Industry

Market cap	1.06T INR
Employees	389,414
Last close	8,032.5 INR
52-week range	5,525.00 - 8,925.00
Last reported period	2025-12-31

Business overview

Operates across refining, petrochemicals, retail and digital services with integrated energy-to-consumer operations. Every figure in this profile is generated deterministically in this browser for RELIANCE.NS.

Reliance Industries Limited operates in Energy / Diversified Oil Gas & Chemicals on the NSE listing, with a market capitalisation of 1.06T INR and approximately 389,414 employees. Operates across refining, petrochemicals, retail and digital services with integrated energy-to-consumer operations. Every figure in this profile is generated deterministically in this browser for RELIANCE.NS. Company identity and financials in this build come from the local synthetic fixture and must not be read as company-reported data.

Industry context

Commodity price and volume splits, reserves and project pipelines are not available; cyclicality is discussed only through reported revenue and margin history. Sector-specific metrics a professional energy note would track: Revenue and margins (available); Working-capital intensity (available); Commodity price exposure (unavailable - no realised-price or volume split in the dataset); Reserves / production volumes (unavailable - not disclosed in the dataset); Project/asset

pipeline (unavailable - not disclosed in the dataset).

Sector metrics a professional note would track

- Revenue and margins: available
- Working-capital intensity: available
- Commodity price exposure: unavailable - no realised-price or volume split in the dataset
- Reserves / production volumes: unavailable - not disclosed in the dataset
- Project/asset pipeline: unavailable - not disclosed in the dataset

Financial Statements - Reported History

Income statement

Period	Revenue	Gross profit	Operating income	EBITDA	Net income	EPS
2025	510.00B	323.00B	153.00B	187.00B	119.00B	793.05
2024	442.00B	276.25B	127.50B	157.25B	99.45B	663.00
2023	382.50B	238.00B	110.50B	136.00B	85.85B	572.05
2022	331.50B	204.00B	93.50B	114.75B	72.25B	481.95

Source: All figures in INR. Synthetic local fixture.

Balance sheet

Period	Total assets	Cash	Total debt	Equity	Net debt
2025	722.50B	127.50B	102.00B	467.50B	-25.50B
2024	637.50B	102.00B	85.00B	425.00B	-17.00B
2023	578.00B	85.00B	76.50B	386.75B	-8.50B
2022	510.00B	72.25B	76.50B	331.50B	4.25B

Source: All figures in INR. Synthetic local fixture.

Cash-flow statement

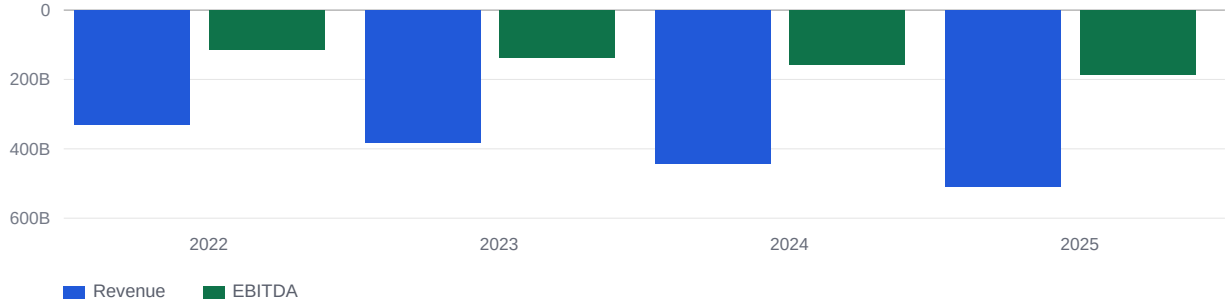
Period	Operating CF	Capex	Free cash flow
2025	153.00B	-42.50B	110.50B
2024	127.50B	-34.00B	93.50B
2023	110.50B	-29.75B	80.75B
2022	93.50B	-25.50B	68.00B

Source: All figures in INR. Synthetic local fixture.

Key ratios

Period	Rev growth	Gross margin	Op margin	Net margin	ROIC	FCF
2025	15.4%	63.3%	30.0%	23.3%	27.7%	110.50B
2024	15.6%	62.5%	28.8%	22.5%	25.0%	93.50B
2023	15.4%	62.2%	28.9%	22.4%	23.4%	80.75B
2022	-	61.5%	28.2%	21.8%	22.3%	68.00B

Source: Derived from reported statements. Nulls preserved where data is missing.



Source: Reported revenue and EBITDA (INR).

Base-Case Forecast

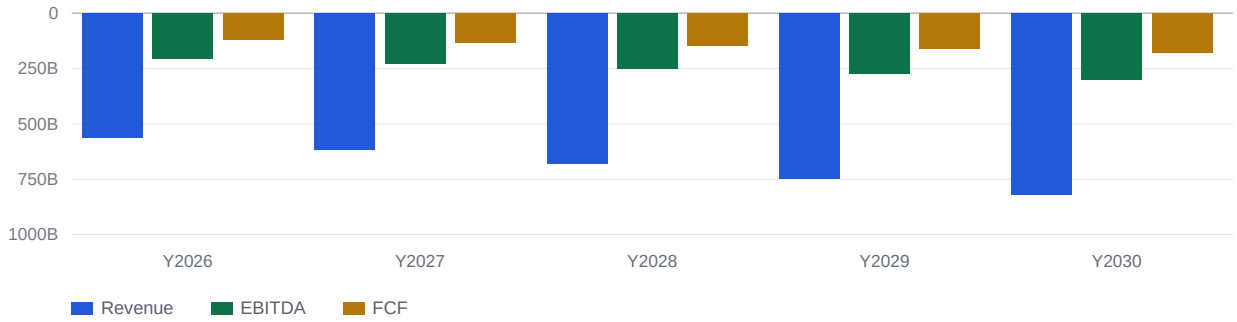
Year	Revenue	EBITDA	EBIT	Net income	FCF	Shares
Y2026	561.00B	205.72B	168.30B	131.24B	120.24B	12.75B
Y2027	617.10B	226.29B	185.13B	144.70B	132.59B	12.75B
Y2028	678.81B	248.92B	203.64B	159.51B	146.19B	12.75B
Y2029	746.69B	273.81B	224.01B	175.80B	161.15B	12.75B
Y2030	821.36B	301.19B	246.41B	193.72B	177.60B	12.75B

Source: Forecast figures in INR. Deterministic model output.

Revenue CAGR	10.0%
Final revenue	821.36B INR
Final EBITDA	301.19B INR
Final free cash flow	177.60B INR
Balance-sheet identity	Balanced in every year

Forecast drivers (documented assumptions)

Revenue Growth	10.00%
Gross Margin	63.33%
Opex Ratio	33.33%
Tax Rate	20.00%
Da Pct	6.67%
Capex Pct	8.33%
Nwc Pct	3.33%
Interest Rate	4.17%
Dividend Payout	30.00%
Excess Cash Sweep	0.00%
Share Dilution	0.00%



Source: Forecast revenue, EBITDA and free cash flow (INR).

Valuation - Discounted Cash Flow

WACC build-up (CAPM, documented defaults)

Risk-free rate	4.00%
Equity beta	1.00
Market risk premium	5.50%
Cost of equity (Rf + beta x MRP)	9.50%
Pre-tax cost of debt	6.00%
Tax rate	25.00%
After-tax cost of debt	4.50%
Equity / debt weight	70% / 30%
WACC applied	8.50%

Free cash flows and discounting

Year	Free cash flow	Discount factor	Present value
Y1	120.24B	0.9217	110.82B
Y2	132.59B	0.8495	112.63B
Y3	146.19B	0.7829	114.45B
Y4	161.15B	0.7216	116.28B
Y5	177.60B	0.6650	118.11B

Enterprise-to-equity bridge

PV of explicit cash flows	572.30B INR
PV of terminal value	2.02T INR
Terminal value share of EV	77.9%
Enterprise value	2.59T INR
Net cash	25.50B INR
Equity value	2.62T INR
Shares outstanding	150.00M
Value per share	17,437.17 INR
Implied exit multiple on final EBITDA	8.6x
Implied upside vs last price	117.1%

Sensitivity - WACC vs terminal growth

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	21,751.21	23,796.47	26,353.03	29,640.05	34,022.73
7.5%	18,046.09	19,389.42	21,001.40	22,971.61	25,434.37
8.5%	15,402.99	16,341.84	17,437.17	18,731.65	20,285.03
9.5%	13,423.50	14,109.81	14,894.17	15,799.19	16,855.05
10.5%	11,886.31	12,405.37	12,989.31	13,651.11	14,407.46

Source: Value per share (INR). Sensitivity maps model response to assumptions; it does not remove uncertainty.

Reverse DCF at the current market price

At a market price of 8,032.50 INR the implied WACC is 15.26%, versus our stated 8.50%. The market discounts these cash flows more steeply than our cost of capital.

Scenario analysis

Bull: Bull case: target of 20,052.75 INR (+15% versus base) if revenue growth runs ahead of the 10.0% path and the terminal margin holds at 36.7%.

Base: Base case: target of 17,437.17 INR on 10.0% revenue CAGR, 8.50% WACC and the stated terminal assumption.

Bear: Bear case: target of 14,821.60 INR (-15% versus base) if growth decelerates and the discount rate widens by 100 basis points.

Risks & Catalysts

Strengths

- Revenue compounding of 10.0% CAGR on the base case, with EBITDA margin at 36.7% by the final forecast year.
- Cash generation: 59.0% of final-year EBITDA converts to free cash flow (177.60B INR), self-funding reinvestment or capital returns.
- Net cash of 25.50B INR provides balance-sheet flexibility through the cycle.
- The three-statement forecast passes its balance-sheet identity check in every projected year.
- Return on invested capital of 27.7% in 2025 indicates value-accretive reinvestment at the reported level.

Risks

Terminal-value dependence

Exposure: The present value of the terminal value is 77.9% of enterprise value.
Impact: Small changes to the discount rate or long-run growth swing the target materially.
Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid
Scenario: Value per share across the sensitivity grid ranges 11,886.31-34,022.73.
Basis: fact

Growth execution

Exposure: The base case assumes 10.0% revenue CAGR.
Impact: A deceleration compresses both the cash-flow base and the applied multiple.
Monitoring metric: Reported revenue growth versus the forecast path
Scenario: Bear case assumes growth runs below plan (see scenarios).
Basis: inference

Synthetic data provenance

Exposure: All financial inputs come from the local deterministic fixture, not company filings.
Impact: No conclusion in this report should be relied upon as a description of any real company.
Monitoring metric: Data-status label on the cover of this report
Basis: fact

Missing sector-specific evidence

Exposure: Commodity price exposure, Reserves / production volumes, Project/asset pipeline are not available in the dataset.
Impact: Sector-specific failure modes cannot be quantified.
Monitoring metric: Disclosure of unavailable metrics in the industry section
Basis: fact

Catalysts

Revenue upside versus plan

Event: Reported revenue tracking above the 10.0% base-case path
Timing: Next reported annual period; exact timing is unknown
Grounding: Each point of revenue upside converts at the 36.7% terminal-year EBITDA margin.

Capital returns from net cash

Event: Buyback, special dividend or step-up in recurring distributions
Timing: Timing unknown; requires board action
Grounding: Net cash of 25.50B INR on the latest balance sheet would fund returns without new leverage.

Multiple re-rating

Event: Market multiple moving toward the model-implied 8.6x exit level
Timing: Timing unknown
Grounding: The DCF embeds a 8.6x exit multiple on final-year EBITDA of 301.19B INR.

Model Quality & Integrity Review

> **Conviction: LOW**
>
> Conviction is constrained by synthetic data, missing sector evidence.

Data status: SYNTHETIC - deterministic local fixture. Figures are not company-reported. Reported coverage spans 2022-2025 (4 annual periods). Sector metrics unavailable: Commodity price exposure, Reserves / production volumes, Project/asset pipeline. Balance-sheet identity holds in every projected year - necessary but not sufficient for economic correctness. Principal assumptions: revenue growth 10.00%; gross margin 63.33%; opex ratio 33.33%; tax rate 20.00%; da pct 6.67%; capex pct 8.33%.

Automated checks

Balance-sheet identity	Pass
DCF produced a value	Yes
Valuation warnings	0
Integrity errors (blocking)	0

Integrity warnings 1

Validation detail

[WARN] data.synthetic: Figures come from the deterministic local fixture (synthetic demonstration data).

Sources & Methodology

Data sources (numbered)

#	Metric	Value	Period	Status	Source
1	Revenue	510,000,000,000	2025-12-31	synthetic	APEX local deterministic fix
2	Revenue growth	0.15	2025-12-31	derived	APEX local deterministic fix
3	Gross margin	0.63	2025-12-31	derived	APEX local deterministic fix
4	Operating margin	0.3	2025-12-31	derived	APEX local deterministic fix
5	Net income	119,000,000,000	2025-12-31	synthetic	APEX local deterministic fix
6	EBITDA	187,000,000,000	2025-12-31	synthetic	APEX local deterministic fix
7	Free cash flow	110,500,000,000	2025-12-31	synthetic	APEX local deterministic fix
8	Net debt	-25,500,000,000	2025-12-31	derived	APEX local deterministic fix
9	Diluted EPS	793.05	2025-12-31	synthetic	APEX local deterministic fix
10	Shares outstanding	150,000,000	2025-12-31	synthetic	APEX local deterministic fix
11	Assumption: revenue growth	0.1	forecast horizon	assumption	User / engine default (docum
12	Assumption: gross margin	0.6333	forecast horizon	assumption	User / engine default (docum
13	Assumption: opex ratio	0.3333	forecast horizon	assumption	User / engine default (docum
14	Assumption: tax rate	0.2	forecast horizon	assumption	User / engine default (docum
15	Assumption: da pct	0.0667	forecast horizon	assumption	User / engine default (docum
16	Assumption: capex pct	0.0833	forecast horizon	assumption	User / engine default (docum
17	Assumption: nwc pct	0.0333	forecast horizon	assumption	User / engine default (docum
18	Assumption: interest rate	0.0417	forecast horizon	assumption	User / engine default (docum
19	Assumption: dividend payout	0.3	forecast horizon	assumption	User / engine default (docum
20	Assumption: excess cash sweep	0	forecast horizon	assumption	User / engine default (docum
21	Assumption: share dilution	0	forecast horizon	assumption	User / engine default (docum
22	DCF value per share	17,437.17	valuation date	derived	APEX local deterministic fix
23	WACC	0.09	valuation date	assumption	APEX local deterministic fix
24	Enterprise value	2,590,075,885,993.06	valuation date	derived	APEX local deterministic fix

Methodology

Forecast: a deterministic three-statement model driven by the documented assumptions in the forecast section. Valuation: unlevered free cash flows discounted at a CAPM-built WACC, with a Gordon-growth or exit-multiple terminal value. Rating: a mechanical band on model upside (BUY >= +10%, HOLD within ?10%, SELL below -10%), withheld entirely when integrity gates fail. Every figure is a model output; the deterministic engine writes the narrative from those outputs and never invents numbers.

Peer set None supplied (comparables omitted)

Conclusion

On the evidence supplied we are constructive. The thesis would be strengthened by revenue tracking at or above 10.0%, cash conversion holding near 59.0% of EBITDA, ROIC sustained above 27.7%; it would be weakened by rising terminal-value dependence, continued absence of sector-specific disclosure, reliance on synthetic demonstration data. Material unresolved questions are those listed as unavailable in the industry and model-quality sections; they are disclosed rather than estimated.

Investment thesis

Energy exposure with 10.0% modelled revenue growth, 36.7% terminal-year EBITDA margin and 59.0% EBITDA-to-FCF conversion. The balance sheet carries 25.50B INR of net cash (0.14x last reported EBITDA). The mechanical rating is BUY; the conviction basis is described below.

Thesis drivers

- Growth: revenue CAGR of 10.0% from 510.00B INR to 821.36B INR across the forecast horizon.

- Margins: EBITDA margin of 36.7% rising to 36.7%, consistent with operating leverage on the modelled cost base.
- Cash conversion: final-year free cash flow of 177.60B INR, 59.0% of EBITDA.
- Balance sheet: net cash of 25.50B INR at 0.14x EBITDA limits financial risk premium.
- Valuation: DCF value of 17,437.17 INR per share versus a 8,032.50 INR market price (117.1% upside).

Disclaimer

This report was produced by the APEX deterministic research engine running locally. All figures are model outputs derived from the stated inputs; they are not audited company disclosures and no investment advice is intended or implied.